

The Shift to Gig Economy: How Traditional Employment Stacks Up Against Platform-Based Independent Workers

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Abstract

This study compares platform-based gig workers and traditional employees across four key dimensions: financial literacy, debt-to-income (DTI) ratio, social support networks, and job satisfaction. Grounded in Dual Labor Market Theory, the research explores the structural divide between the primary labor market—characterized by stable, full-time employment with formal benefits—and the secondary labor market, where gig workers, particularly those engaged in technology-mediated platform work (e.g., ride-hailing, freelance digital services), experience income volatility and limited protections. Using a quantitative approach and purposive sampling across five provinces, the study examined individuals working either through digital labor platforms or in conventional full-time roles. Data analysis employed the Mann-Whitney U test to assess differences in financial and social outcomes. Findings revealed no statistically significant differences in financial literacy or social support networks, suggesting that both groups have comparable access to financial knowledge and interpersonal resources. Although job satisfaction levels were similar across groups, qualitative insights highlighted that platform-based gig workers often value autonomy and personal fulfillment, which contribute uniquely to their sense of satisfaction. A notable distinction emerged in DTI ratios, with traditional employees exhibiting higher median values, likely due to more stable income streams and greater access to credit. These results underscore the evolving nature of work in the digital age and its implications for financial resilience and worker well-being. By shedding light on the experiences of platform-based gig workers, this study contributes to a deeper understanding of labor market dynamics and offers guidance for policies aimed at fostering economic stability across diverse employment models.

CCS Concepts

• **Social and professional topics** → Professional topics; Computing and business; Employment issues.

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ACM ISBN 979-8-4007-2217-2/2025/09
<https://doi.org/10.1145/3785171.3785197>

Keywords

Gig Economy, Platform-Based, Independent Workers, Traditional Workers, Sustainable Economy

ACM Reference Format:

Ramachandra Castro Torres, Zyeda Mae Ibarrientos Bartolome, Luis Gabriel Jimena, and John Paul Paner. 2025. The Shift to Gig Economy: How Traditional Employment Stacks Up Against Platform-Based Independent Workers. In *The 9th International Conference on Business and Information Management (ICBIM 2025)*, September 19–21, 2025, Bangkok, Thailand. ACM, New York, NY, USA, 5 pages. <https://doi.org/10.1145/3785171.3785197>

1 INTRODUCTION

The global labor market is undergoing a profound transformation with the rapid rise of the gig economy. Defined by short-term, flexible, and often platform-mediated work arrangements, the gig economy has redefined how individuals engage with employment. This model offers greater autonomy and adaptability, allowing workers to balance personal and professional responsibilities more freely. According to Business Research Insights (2025), the global gig economy was valued at USD 556.7 billion in 2024 and is projected to reach USD 1,847 billion by 2032, growing at a compound annual growth rate (CAGR) of 16.18%. This growth is driven by increasing demand for flexible work and the expansion of gig opportunities across sectors such as transportation, asset-sharing, and professional services [1].

In the Philippines, the gig economy has gained significant momentum, particularly in the wake of the COVID-19 pandemic. With traditional employment disrupted, many Filipinos turned to online freelancing and remote work platforms such as Upwork, Fiverr, and Grab to sustain their livelihoods. Reports indicate that up to 1.5 million Filipinos are registered on international freelancing platforms [2]. The Asian Development Bank [3] notes that gig work is increasingly prevalent in sectors like ride-hailing, e-commerce, and delivery services. While this shift has created new income opportunities, it has also exposed workers to challenges such as income instability, lack of benefits, and limited access to formal financial services.

One of the most pressing financial challenges faced by gig workers is maintaining a healthy debt-to-income (DTI) ratio. This metric, which compares an individual's monthly debt payments to their gross monthly income, is a key indicator of financial health. Traditional employees often maintain lower DTI ratios due to stable

salaries and employer-provided benefits, making it easier to qualify for loans and credit [4]. In contrast, gig workers frequently experience irregular income streams, leading to higher DTI ratios and greater difficulty in accessing credit or planning for long-term financial goals. This financial unpredictability increases their vulnerability to debt accumulation and economic stress [5].

In this context, financial literacy becomes a critical tool for promoting financial resilience among gig workers. Individuals with strong budgeting, saving, and debt management skills are better equipped to navigate income fluctuations and make informed financial decisions [6]. Moreover, financially literate individuals are more likely to pursue self-employment, as they possess the knowledge necessary to manage independent financial responsibilities [7]. However, gig workers often lack access to employer-sponsored financial education programs, leaving them to manage their finances independently. This gap underscores the importance of understanding how financial literacy influences the financial well-being of independent workers.

Beyond financial concerns, job satisfaction is another area where gig workers and traditional employees differ significantly. According to the Statista Research Department [8], 77% of gig workers report satisfaction with the autonomy and flexibility of their roles. However, this freedom often comes at the cost of job insecurity, income instability, and limited career advancement opportunities. Traditional employees, by contrast, benefit from structured career paths, steady income, and employer-provided benefits, which contribute to higher levels of financial security and overall job satisfaction.

The absence of employer-sponsored benefits also contributes to increased job-related stress among gig workers. Without stable income and social protections, many turn to informal support systems such as peer lending, family aid, and community-based financial programs to manage financial uncertainty [9]. These social networks serve as critical safety nets, helping gig workers cope with economic instability [10]. In contrast, traditional employees typically rely on formal benefits like health insurance and retirement plans, reducing their dependence on informal financial support [11].

This study aimed to provide a comparative analysis of gig workers and traditional employees by examining their demographic profiles and financial statuses. Key areas of focus included financial literacy, debt-to-income ratios, social support networks, and job satisfaction levels. By exploring these dimensions, the research sought to determine which group was better positioned to achieve sustainable financial security and long-term economic stability. The findings contributed to ongoing discussions about the evolution of the labor market and informed policies designed to support various forms of employment.

2 RELATED LITERATURE AND STUDIES

The subsequent sections provide a comprehensive analysis of the similarities and differences between traditional employees and gig workers in relation to financial management practices.

2.1 Financial Literacy

Financial literacy, the ability to understand and utilize financial skills, is increasingly vital in today's economy, where effective personal finance management is key to stability and growth. It covers various areas such as budgeting, saving, investing, and debt management [12]. Research shows that financial education significantly improves both financial knowledge and behaviors, helping individuals reduce vulnerability and enhance long-term financial security. While traditional workers often exhibit higher financial literacy due to stable incomes and employer resources, they may lack advanced investment knowledge, primarily due to concerns about fraud.

In contrast, gig workers face unique financial challenges, including irregular income and limited access to benefits and financial education. Many struggle with budgeting and financial planning, exacerbated by the absence of organizational support and detrimental practices from gig platforms that may lead to the undervaluation of their services. To bridge this gap, integrating financial literacy programs into support systems for gig workers is essential [13]. These programs can help gig workers develop effective budgeting strategies, manage income fluctuations, and prepare for taxes, ultimately empowering them to achieve greater financial resilience and long-term economic stability.

2.2 Debt-to-Income Ratio

Research indicates a strong link between traditional workers' debt levels and factors such as income inequality and cultural values. Davidsson [14] highlights that greater economic disparities lead to increased borrowing and financial instability among these employees. Similarly, Shostya and Banai [15] identify how cultural aspects, including individualism and uncertainty avoidance, significantly influence borrowing decisions. The study underscores the importance of addressing inequalities and understanding cultural factors to develop effective financial education and policies that encourage responsible borrowing.

Gig workers experience specific financial difficulties due to fluctuating incomes and the lack of employment benefits, which contribute to elevated debt-to-income ratios. Yumang [16] reveals that many gig workers resort to predatory lending due to inconsistent earnings, which increases their financial strain. Meanwhile, Mitchell, Li, and Decker [17] note that these workers' reliance on high-interest loans exacerbates their financial precarity, affecting their overall well-being. The findings call for targeted financial interventions, comprehensive financial literacy programs, and policy reforms to better support the distinct financial needs of gig workers.

2.3 Social Support Network

Research highlights the importance of social support in fostering work-life balance and reducing stress for traditional employees. Oludayo and Omonijo [18] emphasize that strong workplace support networks enhance job satisfaction and lower stress levels, ultimately improving employee motivation and productivity. Similarly, the relationship between social support and work-family balance among midlife women. Their findings indicate that strong support

networks positively influence job satisfaction, organizational commitment, and career advancement, enabling employees to manage personal and professional responsibilities more effectively. This underscores the need for workplaces to cultivate supportive environments that contribute to employee well-being.

Unlike traditional employees, gig workers function outside typical organizational frameworks and depend on informal social networks for support. Pilatti, Candia, Montini, and Pinheiro [19] analyze how these networks impact gig workers' financial stability and well-being, revealing that they assist in sharing critical information, enhancing bargaining power, and navigating platform-driven work constraints. By fostering collective action and negotiation tactics, gig workers can better manage the financial risks associated with digital labor. The research shows that freelancers depend on their networks for emotional support and professional guidance, which helps them cope with the uncertainties of gig work. A robust support system improves overall job satisfaction, productivity, and well-being, emphasizing the importance of strengthening social ties within the gig economy.

2.4 Job Satisfaction

Job satisfaction is essential as it significantly impacts motivation, performance, and employee retention. Riyanto et al. [20] highlighted that job satisfaction serves a mediating role between motivation and performance by promoting greater employee engagement rather than exerting a direct effect. High stress levels diminish job satisfaction, while a positive work environment can enhance it. These insights underscore the importance of managing workplace conditions to improve job satisfaction and, ultimately, employee performance. In traditional employment settings, job satisfaction plays a critical role in organizational success. Organizational culture, leadership, and motivation significantly influence work performance, with job satisfaction primarily shaped by leadership. Key drivers of job satisfaction include career growth, supportive work environments, and effective leadership. Studies reveal that career development programs, such as mentoring and training, enhance employee retention and job satisfaction, while satisfied employees tend to perform better.

The satisfaction levels of gig workers are affected by specific challenges unique to their roles. According to Naz and Raj [21], factors that contribute to gig worker satisfaction include perceived fairness, social support, and job control. They pointed out problems like irregular income and a lack of benefits, which are not as common in traditional jobs. Singha and Saikia [22] found that factors such as compensation, autonomy, flexibility, skill development, social interaction, and work-life balance significantly contribute to job satisfaction in the gig economy. These findings highlight the critical need to understand the distinct factors that shape financial and job satisfaction experiences for both gig and traditional workers. Collectively, these studies illustrate the importance of career development, corporate culture, and leadership in enhancing job satisfaction and employee well-being across various work environments.

3 METHODOLOGY

This study employed a quantitative, comparative analysis to explore how the gig economy contrasts with traditional employment regarding financial literacy, debt-to-income ratios, social support systems, and job satisfaction. By analyzing a diverse group of participants from various sectors, the researchers aimed to uncover key differences and similarities between gig workers and traditional employees, shedding light on their financial behaviors and job satisfaction levels. The findings enhance understanding of employment-related financial trends and may help organizations and workers develop strategies for improving financial stability and overall job satisfaction in a changing labor market. [23]

3.1 Sampling

This study utilized non-probability purposive sampling to compare gig workers and full-time traditional employees in a region with five provinces, focusing on financial literacy, debt-to-income ratio, job satisfaction, and workforce resilience. Gig workers were defined as those engaged in freelance or platform-based jobs like ride-hailing and online freelancing, while traditional employees held full-time positions with formal contracts and benefits, excluding those with part-time or side jobs. A screening process ensured participants met age and employment criteria, resulting in reliable data from individuals with adequate work experience to provide insights into their financial and employment conditions, ultimately highlighting the changing employment landscape in the region.

3.2 Research Instrument

The researchers conducted a self-administered survey using Google Forms to collect data on financial literacy, financial stability, and workforce experiences from a diverse group of respondents, including gig workers and traditional employees. The survey comprised five sections: demographic information, assessment of financial literacy through a multiple-choice questionnaire, evaluation of financial stability via debt-to-income ratios, measurement of social support networks using a Likert scale, and analysis of job satisfaction using the Job Satisfaction Survey (JSS). Data were analyzed using Confirmatory Factor Analysis (CFA) and comparative research analysis to identify patterns and relationships among key variables, ultimately providing insights into the financial dynamics and workplace experiences of different employment types.

3.3 Statistical Instrument

In this study, the Independent Sample t-Test was initially selected to compare financial literacy, debt-to-income ratio, social support networks, and job satisfaction between gig workers and traditional employees. However, prior to conducting the t-test, the Shapiro-Wilk test was applied to assess the normality of these data distribution. The results indicated that the data did not meet the assumption of normality across all dependent variables. Consequently, the Mann-Whitney U test was employed as a non-parametric alternative, as it does not require a normal distribution and is suitable for comparing two independent groups.

Table 1: Differences in the Financial Status of Traditional Workers and Gig Workers

Dependent Variable	Type of Job	Description		Mann-Whitney U ($\alpha = 0.05$)		
		Sample	Median	U	p	Interpretation
Financial Literacy	Gig Worker	276	9	40137	0.267	Not Significant
	Traditional	307	9			
Debt-to-Income Ratio	Gig Worker	276	31.41	34567	< .001	Significant
	Traditional	307	40			
Social Support Network	Gig Worker	276	3.63	39340	0.135	Not Significant
	Traditional	307	3.75			
Job Satisfaction	Gig Worker	276	3.67	41842	0.797	Not Significant
	Traditional	307	3.56			

4 RESULTS AND DISCUSSION

Table 1 delineates the differences in financial status between Traditional Workers and Gig Workers. The results of the Mann-Whitney U test indicate that there are no statistically significant differences between the two groups regarding financial literacy, social support networks, and job satisfaction.

With respect to financial literacy, both groups achieved a median score of 9, signifying moderate levels of financial understanding. The corresponding U-statistic was 40137, and the p-value was 0.267, suggesting no significant difference in financial literacy between Traditional and Gig Workers. This parity in financial literacy levels implies that the type of employment may not substantially influence financial knowledge. Factors contributing to this similarity may include the widespread accessibility of financial education resources and the necessity for individuals in both employment types to effectively manage their personal finances.

In terms of social support networks, the median scores were 3.75 for Traditional Workers and 3.63 for Gig Workers, with a U-statistic of 39340 and a p-value of 0.135. The absence of significant differences between the two groups suggests that both Traditional and Gig Workers have access to comparable levels of social interaction and support, irrespective of their employment type. Notably, Traditional Workers demonstrated a slightly higher median social support score, indicating a marginal advantage stemming from more structured workplace relationships and formal support systems. While the overall findings indicate no statistically significant difference in social support networks, individual responses reveal important disparities in workplace experiences. For instance, one Gig Worker reported never receiving helpful information or advice from work peers or professional connections, highlighting that some independent workers may face challenges in accessing professional guidance and support. Thus, despite the marginally higher median social support score among Traditional Workers, the experience of workplace support may not be uniformly distributed among all employees. In contrast, Gig Workers, who often operate within less structured environments, may encounter greater difficulties in obtaining consistent professional guidance and peer support.

Regarding job satisfaction, both groups exhibited similar medians, with Traditional Workers scoring 3.56 and Gig Workers scoring 3.67. The U-statistics was 41842, with a p-value of 0.797, further corroborating the absence of a significant difference. Although

the difference in job satisfaction between the two groups is not statistically significant, the marginally higher median score among Gig Workers points to subtle distinctions in their experiences. For example, one Gig Worker articulated strong agreement with the statement, “My job is enjoyable,” reflecting how factors such as autonomy, flexible scheduling, and personal control over work positively influence job satisfaction. This observation underscores the notion that such fulfilling aspects are not exclusive to one employment type but can manifest across both. Consequently, this reinforces the argument that overall job satisfaction may hinge more on the nature of one’s work and its alignment with individual values and preferences, rather than solely on whether one is classified as a Gig or Traditional Employee. In essence, intrinsic motivators, such as autonomy and enjoyment, play pivotal roles in shaping job contentment across different employment structures.

Conversely, a significant difference was identified in the debt-to-income ratio between the two groups. Traditional Workers exhibited a higher median ratio of 40, compared to 31.41 for Gig Workers. The Mann-Whitney U statistic was 34567, with a p-value of less than 0.001, indicating a statistically significant difference at the 0.05 level. This disparity suggests that Traditional Workers may bear a greater debt burden relative to their income than their Gig Worker counterparts, potentially reflecting differences in financial responsibilities, income stability, or access to credit between the two employment types. The elevated debt-to-income ratio among Traditional Workers may signify greater access to credit facilities and a propensity for long-term financial commitments, such as mortgages or loans. In contrast, Gig Workers may exhibit more cautious financial behaviors due to income variability and limited access to traditional credit systems.

5 CONCLUSION AND RECOMMENDATIONS

This study explores the financial and social dimensions of platform-based gig workers compared to traditional employees, focusing on four key factors: financial literacy, debt-to-income (DTI) ratio, social support networks, and job satisfaction. Framed within the Dual Labor Market Theory, the research highlights the structural divide between the primary labor market—marked by job stability and formal benefits—and the secondary labor market, where gig workers, particularly those engaged through digital platforms, face income volatility and limited institutional protections.

By analyzing data from participants across five provinces, the study reveals how technology-enabled gig work reshapes economic behavior and personal well-being. A significant finding is that platform-based gig workers report lower DTI ratios than traditional employees, suggesting more cautious debt management despite unstable earnings. In contrast, traditional employees often carry higher DTI ratios due to greater access to credit and long-term financial obligations. While job satisfaction scores were statistically similar, qualitative insights show that gig workers derive fulfillment from autonomy and flexibility, even amid financial uncertainty.

The study argues that conventional metrics like job satisfaction may overlook the nuanced challenges faced by gig workers in the digital economy. To bridge business and technology for a smarter, sustainable economy, the research calls for targeted financial education, adaptive credit assessment models, and inclusive support systems. Recommendations include platform-driven financial tools such as dynamic earnings forecasts and automated savings features, as well as government reforms to enhance social protection schemes with flexible contribution options.

Furthermore, the study advocates for a broader research agenda—incorporating longitudinal and mixed-methods approaches—to better understand the evolving financial resilience of gig workers. Expanding participant demographics to include various types of platform-based workers (e.g., freelancers, delivery riders) will improve generalizability and inform policy interventions. Financial institutions, employers, and educational bodies must collaborate to equip all workers with the tools and knowledge needed for long-term financial security in a rapidly digitizing labor landscape.

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